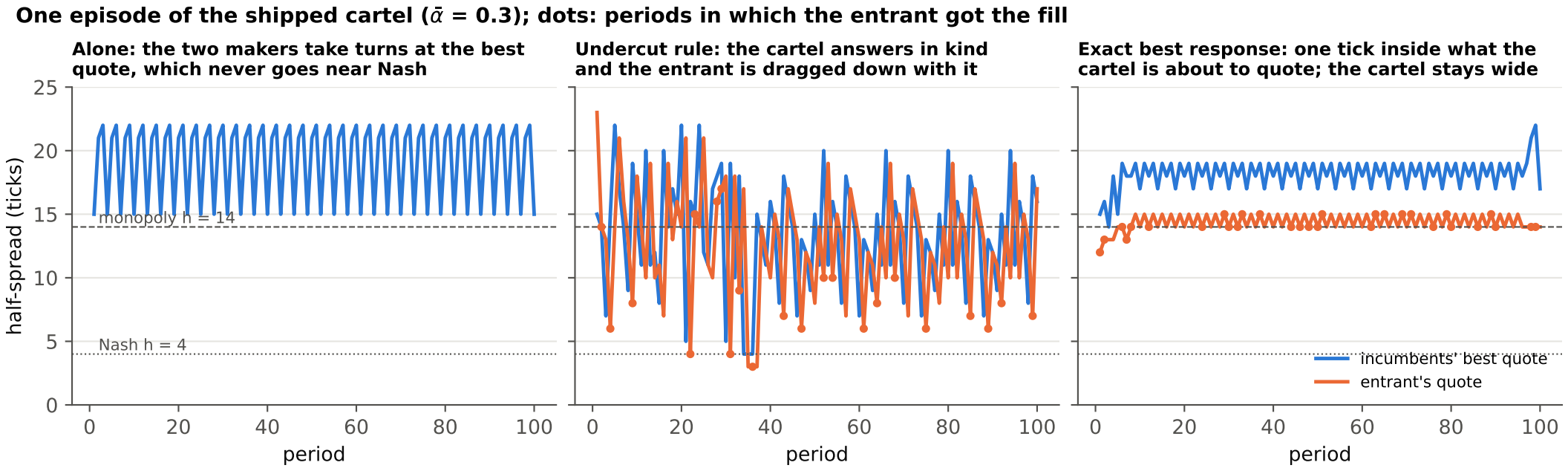
One episode of the shipped cartel ($\bar{\alpha}$ = 0.3); dots: periods in which the entrant got the fill
Alone: the two makers take turns at the best quote, which never goes near Nash
Undercut rule: the cartel answers in kind and the entrant is dragged down with it
Exact best response: one tick inside what the cartel is about to quote; the cartel stays wide
half-spread (ticks)
monopoly h = 14
Nash h = 4
incumbents' best quote
entrant's quote
period
0
5
10
15
20
25
0
20
40
60
80
100